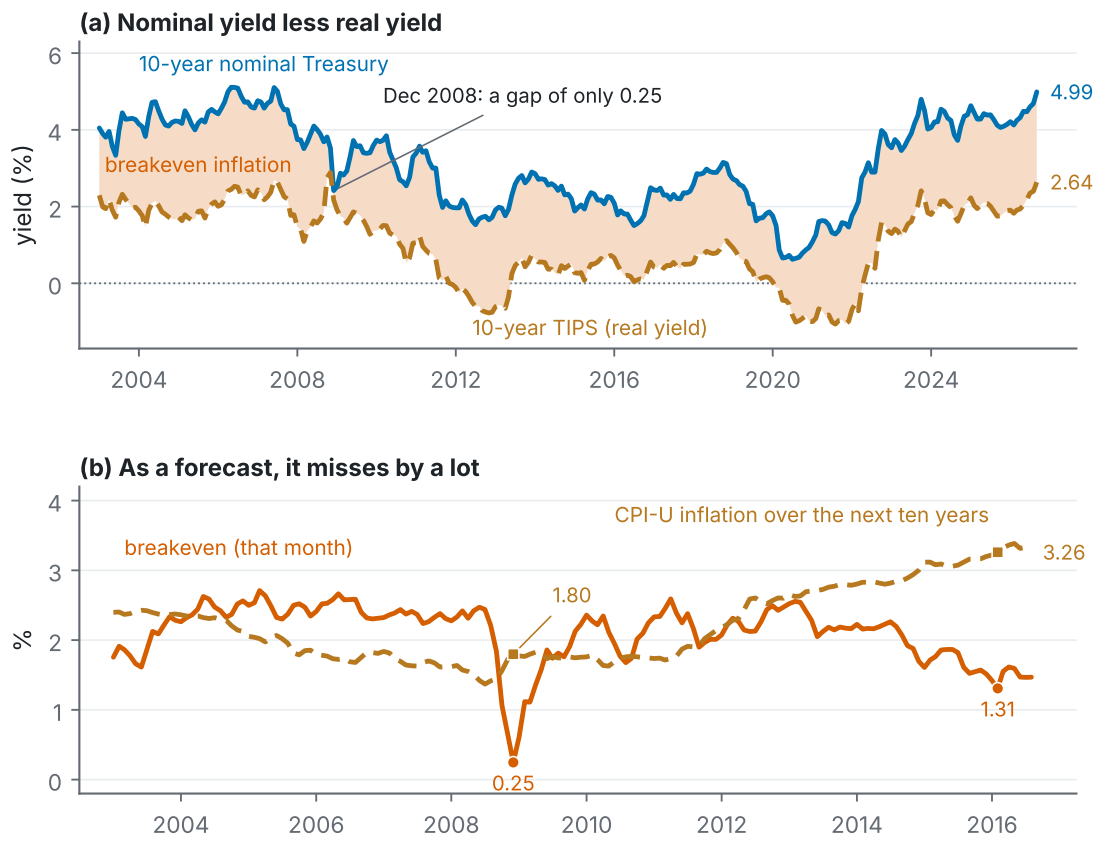
(a) Nominal yield less real yield
10-year nominal Treasury
Dec 2008: a gap of only 0.25
breakeven inflation
10-year TIPS (real yield)
4.99
2.64
yield (%)
6
4
2
0
2004
2008
2012
2016
2020
2024
(b) As a forecast, it misses by a lot
breakeven (that month)
CPI-U inflation over the next ten years
1.80
0.25
3.26
1.31
%
4
3
2
1
0
2004
2006
2008
2010
2012
2014
2016